

Ticker: SKE CN	3Q25 cash+raise: C\$245m	Project: Eskay Creek
Market cap: C\$5.0bn	Price: C\$41.60/sh	Country: Canada, BC
REC. (unc): BUY	TARGET (unc): C\$53/sh	RISK RATING (unc): HIGH

Today's receipt of the Environmental Management Act (EMA) permit for the Eskay Creek Project (100%, BC) importantly marks the final regulatory approval required to advance Eskay towards a production scenario. Following last week's receipt of both British Columbia Mines Act Permit and the Federal Impact Assessment Approval, the project is now fully permitted and formally derisked. With the permitting process in the rear now and funding already secured, the focus shifts to construction execution (incl. ramping up of project workforce, facilities construction, and early-stage mining/stockpiling etc.). Skeena impressively has continued to maintain project timelines with first production in 2Q27, with the team having strategically advanced early works under the bulk sample permit issued in December 2024. Hence, we see visibility on a near-term producer re-rate, not dissimilar to peer Artemis in our view, that transformed from <\$1B MCap at receipt of BC Mines Act permit to \$3.5B at first gold pour. Bottom line: The pathway to operation is clearer than ever with first production targeted for 2Q27. For now, **we maintain our BUY rating and our C\$53.00 price target** based on 0.9x NAV5%-3,600-50 for the group including a nominal US\$75/oz for Snip. Stepping back, we currently model Eskay creek as a 450kozpa AuEq asset in the first 5 years at ~US\$780/oz co-product AISC generating US\$7.7bn NPV5%. The stock is currently trading at 0.70x P/NAV (0.53x at spot) with a pathway to re-rate into a producer with upside potential from a strong precious metal environment (DFS based on 1,700/oz Au & 19.00/oz Ag vs spot ~5,000/oz Au & ~US\$110/oz Ag), bringing Snip into development plans (823koz @ 9.35g/t indicated UG resource), and other low-hanging technical improvements (e.g. concentrate payabilities / pit slopes).

Full steam ahead on Eskay Creek construction; First production targeted for 2027

Today, Skeena announced the receipt of its Environmental Management Act (EMA) permit for the Eskay Creek Project (100%, BC) following the approval from both the B.C. Ministry of Environment and Parks and Tahltan Central Government. The EMA permit is the final regulatory approval required for the development and operation of the Project. The EMA application was submitted as part of a joint application together with the B.C. Mines Act Permit received last week. Construction is ongoing at Eskay Creek with production targeted for 2027.

Why we like Skeena

1. Eskay pitable 4.6Moz @ 3.6g/t P&P / 324koz pa LOM @ US\$684/oz AISC 3Q23 DFS
2. Tahltan Nation support with IBA approval
3. Scarcity value on 'build ready' assets of scale in Canada
4. Snip (823koz @ 9.35g/t indicated UG resource) upside

Catalysts

1. 2026: Project execution and construction
2. 2Q27: First production

Research

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Ticker: SKE CN	Price / mkt cap: C\$41.6/sh, C\$5035m	Group PNAV today: 0.70x	Asset: Eskay Creek / Snip
Author: B Gaspar	Rec / 0.9xNAV PT: BUY, C\$53/sh	1xNAV _{1Q26} FF FD: C\$58.94/sh	Country: Canada: BC

Commodity price	CY25E	CY26E	CY27E	CY28E	CY29E	Resources	AuEq (koz)	AuEq (g/t)
Gold price	2,387	3,441	4,050	3,800	3,600	Pittable resource	5631koz	3.46g/t
SOTP project valuation*						Underground resource	393koz	5.86g/t
	C\$m	O/ship	NAVx	C\$/sh		Snip	937koz	9.00g/t
Ungeared proj. @ 1Q26	7,674	100%	1.00x	58.73		Funding: uses		
Cash 3Q25 + Raise	245	100%	1.00x	1.87		SCPe remaining build capex	C\$397m	Cash + ITM options C\$315m
Cash from options	70	100%	1.00x	0.53		SCPe G&A to 1st Au	C\$26m	Orion Debt C\$486m
G&A and finance costs (C\$m)	(294)	100%	1.00x	(2.25)		SCPe pre-production expl'n	C\$3m	Orion Stream C\$0m
Snip (US\$75/oz)	98	100%	1.00x	0.75		SCPe finance costs + wkg cap to Y1	C\$285m	Orion over-run C\$136m
Asset NAV5% C\$3600/oz	7,792			59.6		Total uses	C\$711m	Build Equity C\$0m
*Shares diluted for options and mine build						Funding: sources		
Market P/NAV 0.70x								Total proceeds C\$937m
Share data								Buffer C\$226m
Basic shares (m)	121.0				FD with build equity raise 130.7	Ratio analysis		
FD with options (m)	130.7					Average shares out (m)	CY25E	CY26E

Asset value: 1xNPV project @ build start (C\$m, ungeared)*

Project NPV (C\$m)*	\$3100oz	\$3600oz	\$4300oz	\$5000oz	\$5700oz
10.0% discount	5,073	6,066	7,442	8,805	10,160
7.5% discount	5,677	6,803	8,364	9,912	11,451
5.0% discount	6,389	7,674	9,457	11,227	12,987
Ungeared project IRR:	0%	0%	0%	0%	0%
Project NPV (C\$/sh)*	\$3100oz	\$3600oz	\$4300oz	\$5000oz	\$5700oz
10.0% discount	38.82	46.43	56.96	67.39	77.76
7.5% discount	43.45	52.07	64.01	75.86	87.64
5.0% discount	48.89	58.73	72.38	85.92	99.39

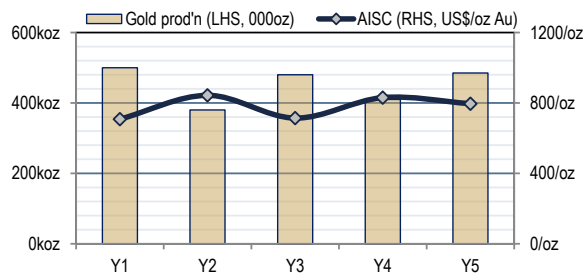
*Project level NPV, excl finance costs and central SG&A, discounted to build start

Group valuation over time^	Mar-26	Jun-27	Mar-28	Mar-29	Mar-30
Eskay Creek (C\$m)	7,674	8,569	7,805	6,898	5,870
Net cash prior qtr (C\$m)	154	(199)	880	2,150	3,523
G&A and finance costs (C\$m)	(294)	(219)	(173)	(123)	(88)
Cash from options (C\$m)	70	70	70	70	70
Snip	98	98	98	98	98
NAV FF FD (C\$m)	7,701	8,318	8,680	9,093	9,472
1xNAV _{5%} /sh FF FD (C\$/sh)	58.94*	63.66*	66.43*	69.59*	72.49*
Gearing company 1xNAV when in production					
1xNAV FF FD (C\$/sh)^	\$3100oz	\$3600oz	\$4300oz	\$5000oz	\$5700oz
10.0% discount	6,386	7,589	9,255	10,905	12,545
7.5% discount	6,794	8,097	9,902	11,692	13,472
5.0% discount	7,261	8,680	10,648	12,601	14,544
Gearing project IRR:	0%	0%	0%	0%	0%
1xNAV FF FD (C\$/sh)^	\$3100oz	\$3600oz	\$4300oz	\$5000oz	\$5700oz
10.0% discount	48.87	58.08	70.83	83.46	96.01
7.5% discount	52.00	61.96	75.78	89.48	103.10
5.0% discount	55.57	66.4	81.49	96.44	111.31

^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity

Production	Y1	Y2	Y3	Y4	Y5
Gold production (000oz)	500	380	480	410	485
C1 cost (US\$/oz)	623	732	626	705	694
AISC cost (US\$/oz)	708	843	714	830	796

AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027



Source: SCP estimates

Ratio analysis	CY25E	CY26E	CY27E	CY28E	CY29E
Average shares out (m)	114.7	121.0	121.0	121.0	121.0
EPS (C\$/sh)	-	-	10.23	9.86	11.19
CFPS (C\$/sh)	-	-	8.35	10.74	11.62
EV (C\$m)	4,677.1	5,265.7	4,216.4	2,946.4	1,573.4
FCF yield (%)	-	-	20%	26%	28%
PER (x)	-	-	4.1x	4.2x	3.7x
P/CF (x)	-	-	5.0x	3.9x	3.6x
EV/EBITDA (x)	-	-	2.3x	1.7x	0.8x

Income statement	CY25E	CY26E	CY27E	CY28E	CY29E
Net revenue (C\$m)	-	-	2,056.9	2,050.0	2,275.0
Gross profit (C\$m)	-	-	1,881.9	1,824.5	2,046.4

D&A, attrib (C\$m)	0.6	-	90.4	103.1	121.1
Admin (C\$m)	40.0	23.2	10.0	10.0	10.0
Expensed exploration (C\$m)	8.7	3.0	-	-	-
Finance cost (C\$m)	0.5	45.8	61.6	46.7	29.7
Royalty (C\$m)	-	-	60.1	59.6	66.3
Forex, other (C\$m)	(39.9)	2.1	-	-	-
Taxes (C\$m)	3.5	-	421.4	411.7	464.9
Net income (C\$m)	(13.5)	(74.1)	1,238.4	1,193.4	1,354.5

Cash flow, attrib.	CY25E	CY26E	CY27E	CY28E	CY29E
EBIT (C\$m)	(9.5)	(28.3)	1,721.4	1,651.8	1,849.1
Add back D&A (C\$m)	0.6	-	90.4	103.1	121.1
Less tax + net interest (C\$m)	3.9	45.8	483.0	458.4	494.6
Net change in wkg cap (C\$m)	(36.8)	-	(207.4)	45.6	(27.0)
Add back other non-cash (C\$m)	90.7	-	-	-	-

Cash flow ops (C\$m)	41.1	(74.1)	1,121.4	1,342.1	1,448.6
PP&E - build + sust. (C\$m)	(294.4)	(317.7)	(111.1)	(42.3)	(42.3)
PP&E - expl'n (C\$m)	-	-	-	-	-

Cash flow inv. (C\$m)	(294.4)	(317.7)	(111.1)	(42.3)	(42.3)
Share issue (C\$m)	232.0	-	-	-	-
Proceeds from sale (C\$m)	206.9	68.1	68.1	-	-

Debt draw (repay) (C\$m)	112.2	364.6	(65.7)	(129.6)	(129.6)
Cash flow fin. (C\$m)	551.1	432.6	2.3	(129.6)	(129.6)
Net change in cash (C\$m)	297.8	40.8	1,012.6	1,170.2	1,276.7

EBITDA (C\$m)	(116.6)	(28.3)	1,782.8	1,725.0	1,936.9
Balance sheet	CY25E	CY26E	CY27E	CY28E	CY29E
Cash (C\$m)	276.9	317.7	1,301.3	2,441.6	3,685.1

Acc rec., inv, prepaid (C\$m)	54.4	54.4	211.2	165.7	192.6
PP&E + other (C\$m)	563.5	881.2	902.0	841.1	762.4
Total assets (C\$m)	894.8	1,253.3	2,414.5	3,448.4	4,640.0

Debt (C\$m)	184.2	548.7	483.0	353.4	223.8
Accounts payable (C\$m)	63.9	63.9	13.4	13.4	13.4
Others (C\$m)	434.9	434.9	434.9	434.9	434.9

Total liabilities (C\$m)	683.0	1,047.6	931.3	801.7	672.1
Sh'hlds equity + wrnts (C\$m)	900.6	968.6	1,036.7	1,036.7	1,036.7
Retained earn'gs + rsvs (C\$m)	(688.8)	(762.9)	446.5	1,610.0	2,931.3

Liabilities + equity (C\$m)	894.8	1,253.3	2,414.5	3,448.4	4,640.0
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Summary of Recommendations as of February 2026	
BUY:	55
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	55

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